

Commercial risk assessment

XYZ Shoes

shoe manufacturing

Reference	C-0002
Assessment date	2026-08-27
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Employees	140

Overview

High risk Overall risk band	14 Cover sections assessed	59 Risk factors identified
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XYZ Shoes is a shoe manufacturing plant employing 140 people and operating 24/7 from an owned multi-floor brick building. The business uses flammable liquids and chemicals, and notable risk factors include the absence of a fire alarm or sprinklers, and CCTV recordings not being retained.

Cover sections

Section	Assessment	Reason
Buildings Combined	Required	The business owns the building it operates from, valued at R30,000,000.
Fire	Required	The business owns significant assets including plant, machinery, stock, and contents.
Business Interruption	Required	The business generates R3,600,000 in gross profit and depends on its machinery, making it vulnerable to interruption.
Office Contents	Required	The business owns R3,000,000 in contents, including desks, chairs, and canteen equipment.

Glass	Not applicable	The submission explicitly states there is no glass at the premises.
Accounts Receivable	Required	The business has debtors of R2,000,000, which would be at risk if their electronic records were lost.
Fidelity	Required	A single employee authorises payments, creating an exposure to employee dishonesty.
Theft	Required	The business holds valuable stock and contents which are an attractive target for theft.
Money	Required	The business holds up to R10,000 in cash on premises and in transit.
Goods-in-Transit	Required	The submission states a maximum of R200,000 worth of goods are on a single vehicle.
Electronic Equipment	Required	The business owns R250,000 of fixed and R80,000 of portable electronic equipment.
Business All Risks	Required	The business owns portable laptops which are likely used away from the premises.
Group Personal Accident / Stated Benefits	Worth considering	The business has 140 employees, including drivers and machinists, but the need for this benefit is not specified.
Motor Comprehensive	Required	The business owns a fleet of LDVs, trucks, trailers, and forklifts, as per the vehicle schedule.
Motor Traders	Not applicable	The business is a shoe manufacturer and does not trade in, service, or repair vehicles.
Public Liability	Required	The business is a manufacturing plant with machinery and visitors, creating third party liability exposure.
Broadform Liability	Required	As a manufacturer supplying goods to retailers, the business has a products liability exposure.
Umbrella Liability	Worth considering	Additional liability top-up cover may be prudent for an SME manufacturer, depending on the primary limits chosen.

Risk factors by section

Each factor quotes the submission text it was drawn from, so it can be checked against the source.

1. Buildings Combined

Inadequate fire mitigation for hazardous occupancy severe severity

Fire protection measures are critically below standard for a manufacturing risk using flammables.

The use of flammable materials creates a significant fire hazard. The lack of a monitored fire alarm or sprinklers means a fire could become catastrophic before an effective response is mounted, posing a severe threat to the building.

From the submission: "Hazardous materials, processes or substances held or used: Flammable liquids and chemicals"

Uncertified electrical installation high severity

Represents an unmanaged and common source of commercial fires.

An electrical installation without a current Certificate of Compliance is a major fire peril, particularly in a 24-hour industrial setting with heavy machinery. This indicates a failure in basic property maintenance and safety compliance.

From the submission: "Electrical CoC current, and dated: No"

Asset concentration single location high severity

Represents a total loss exposure for the section with no geographic spread of risk.

The entire R30,000,000 building value is concentrated at a single site. This means any major peril, such as a fire, will result in a total or near-total loss for this section of cover.

From the submission: "Location number: 1 of 1"

Hazardous adjacent occupancies **medium severity**

External fire exposure risk is elevated compared to a standalone or office-park location.

The insured premises is situated between an auto mechanic and a bakery, both of which are occupancies with a high intrinsic fire risk. A fire originating at a neighbouring property could easily spread and cause significant damage to the insured building.

From the submission: "What happens at these premises, and what is next door: Manufacturing of shoes. To the left a Auto mechanic and to the right Bakery"

2. Fire

Outdated electrical certificate **high severity**

A critical deficiency for a manufacturing occupancy.

The lack of a current Electrical Certificate of Compliance represents a significant unmanaged ignition source. In a plant with continuous 24-hour machinery operation and flammable materials, this elevates the risk of an electrical fire substantially.

From the submission: "Electrical CoC current, and dated: No"

Inadequate fire detection **high severity**

Below standard for a multi-story manufacturing risk.

For a three-floor manufacturing plant operating 24/7 with a high fire load, the absence of a monitored fire alarm is a major weakness. It removes the opportunity for early detection and professional fire brigade response, increasing the probability of a total loss.

From the submission: "Fire alarm, and monitored: None"

High combustible load medium severity

An inherent but significant hazard for a shoe manufacturer.

The storage and use of flammable liquids and chemicals, in addition to large quantities of stock like leather and other materials, creates a high fire load. This can fuel a rapidly spreading and intense fire should one start.

From the submission: "Hazardous materials, processes or substances held or used: Flammable liquids and chemicals"

External fire exposure medium severity

Elevated fire risk from adjacent high-hazard occupancies.

The proximity to an auto mechanic (potential for hot work, solvents) and a bakery (ovens, gas) introduces a material risk of fire spreading from a neighbouring property. This external hazard is outside the insured's direct control.

From the submission: "To the left a Auto mechanic and to the right Bakery"

3. Business Interruption

Single location dependency severe severity

A total dependency on a single site, common for manufacturers but a maximum severity factor.

With all manufacturing operations concentrated at a single premises, any significant property damage event will cause a complete cessation of business, leading to a maximum possible business interruption loss.

From the submission: "Location number: 1 of 1"

Absent fire alarm high severity

Below standard for a multi-story manufacturing facility using flammable materials.

The absence of an automated fire alarm system means a fire could grow substantially before being detected, even with 24-hour occupancy, increasing the likelihood of a major loss that triggers a prolonged business interruption.

From the submission: "Fire alarm, and monitored: None"

Uncertified electrical system high severity

A critical compliance failure representing a primary ignition source.

An uncertified electrical installation is a significant fire ignition hazard. This risk is amplified in a manufacturing environment with machinery and flammable chemicals, directly increasing the probability of a business-interrupting fire.

From the submission: "Electrical CoC current, and dated: No"

Presence of flammables medium severity

An inherent but material hazard for a shoe manufacturer.

The use of flammable liquids and chemicals for shoe manufacturing increases the fire load and potential for rapid fire spread, making any ignition event more likely to result in a significant business interruption.

From the submission: "Hazardous materials, processes or substances held or used: Flammable liquids and chemicals"

External fire exposure medium severity

Above average external fire exposure from adjacent high-risk occupancies.

The premises is situated next to an auto mechanic and a bakery, both of which present a higher-than-average fire risk. This creates a contagion hazard that could cause damage and interrupt the business, regardless of its own internal controls.

From the submission: "What happens at these premises, and what is next door: Manufacturing of shoes. To the left a Auto mechanic and to the right Bakery"

4. Office Contents

Inadequate fire detection for hazard **severe severity**

Deficient fire protection for a manufacturing occupancy with flammable materials.

The use of flammable materials creates a severe inherent fire risk. The absence of a monitored fire alarm means a fire could grow undetected, making a total loss of the office contents highly probable.

From the submission: "Hazardous materials, processes or substances held or used: Flammable liquids and chemicals"

Outdated electrical wiring **high severity**

Sub-standard electrical safety for an industrial risk.

The lack of a current Electrical Certificate of Compliance suggests the installation may be unsafe, posing a significant fire ignition risk to the building and its contents.

From the submission: "Electrical CoC current, and dated: No"

Inadequate theft protection **high severity**

Below standard security measures for the value at risk.

The lack of a functional burglar alarm system is a critical security deficiency that significantly increases the risk of a major theft of office contents and electronic equipment.

From the submission: "Burglar alarm, armed response: Armed response (no alarm)"

Hazardous neighbouring occupancies **medium severity**

Increased external fire exposure from adjacent businesses.

The business is situated next to an auto mechanic and a bakery, both of which are occupancies with a higher-than-average fire risk, creating a significant external hazard.

From the submission: "What happens at these premises, and what is next door: Manufacturing of shoes. To the left a Auto mechanic and to the right Bakery"

Single site dependency medium severity

Typical concentration risk for a single-location business.

As the business operates from a single location, any property damage event will disrupt the entire operation, increasing the probable size of any claim under the Increase in Cost of Working cover.

From the submission: "Location number: 1 of 1"

6. Accounts Receivable

Inadequate fire detection high severity

Below standard fire safety for an industrial occupancy.

The absence of a monitored fire alarm increases the likelihood of a fire causing catastrophic damage before the fire brigade is alerted. This elevates the risk of destruction for the on-site server holding the primary accounts receivable data.

From the submission: "Fire alarm, and monitored: None"

Uncertified electrical installation high severity

Non-compliance with statutory electrical safety standards.

An out-of-date Electrical Certificate of Compliance represents a significant fire ignition risk. A fire of electrical origin could destroy the electronic equipment, including the server that houses the debtors' ledger.

From the submission: "Electrical CoC current, and dated: No"

Single on site server medium severity

A typical IT vulnerability for a mid-sized manufacturer.

Relying on a single on-site server creates a single point of failure for the primary accounting records. An event destroying this server would make the business entirely dependent on the success and timeliness of the backup restoration process.

From the submission: "Servers on site, how many: One"

Offsite daily backups **low severity**

A strong control for a business of this scale.

Daily backups stored off-site are a significant mitigating control. This greatly reduces the risk of being unable to reconstitute debtors' records following a loss event at the premises.

From the submission: "Backups: Off-site"

7. Fidelity

Single payment authorisation **high severity**

Significantly below standard for a business with this level of turnover.

The absence of dual authorisation for payments creates a major opportunity for a single employee to commit fraud. This is a fundamental weakness in financial controls that significantly increases the risk of a large fidelity loss.

From the submission: "Payments authorised by two people: No"

Unclear fraud history **medium severity**

Inadequate disclosure on a critical underwriting question.

The response does not answer the direct question about prior employee dishonesty, which is a crucial factor for assessing this risk. This ambiguity requires clarification as it may conceal a poor loss history.

From the submission: "Any past incident of employee dishonesty, theft or fraud: All transactions done off internet banking app"

Unspecified cyber controls **medium severity**

Insufficient information on cyber security for a business reliant on electronic banking.

The business relies on an internet banking application for all transactions, creating an exposure to computer fraud, but no cyber security controls are mentioned. This risk is amplified by the single-person payment authorisation process.

From the submission: "All transactions done off internet banking app"

Infrequent cash banking **low severity**

Below standard cash handling procedure.

Banking cash only once a month, even for small amounts, reflects a relaxed approach to financial discipline. This can create opportunities for cash misappropriation to go undetected for longer periods.

From the submission: "Frequency of banking: Monthly"

8. Theft

Ineffective alarm system **severe severity**

Critically below standard for any commercial risk.

An armed response service without a linked burglar alarm is fundamentally flawed, as there is no automated trigger to dispatch security in the event of a break-in. This invalidates the primary electronic security measure against theft.

From the submission: "Burglar alarm, armed response: Armed response (no alarm)"

High value theft target **high severity**

Consistent with a manufacturing operation of this scale.

The high value of stock, comprising desirable materials like leather and finished goods, makes the premises a very attractive target for organised commercial theft. A successful burglary would lead to a significant loss.

From the submission: "Stock in trade, average: R5 000 000 - Leather, material and consumables"

Absent burglar bars **high severity**

Below standard for a premises with high-value stock.

The complete lack of burglar bars removes a fundamental layer of physical security, making forced entry through windows or other ground-floor openings significantly easier. This elevates the risk of both stealth burglary and armed robbery.

From the submission: "Burglar bars: None"

Vulnerable roof construction **medium severity**

A common vulnerability for industrial-type buildings.

A corrugated iron roof is a known vulnerability that can be exploited by criminals to bypass perimeter and ground-floor security measures. While 24-hour occupation mitigates this, it remains a risk, particularly during shutdowns.

From the submission: "Construction - roof: Corrugated iron"

Cctv recordings not retained **medium severity**

Below standard practice for modern commercial security.

Operating a CCTV system without retaining recordings severely limits its effectiveness as a deterrent and removes any possibility of using footage for post-event investigation. This weakens a key secondary security control.

From the submission: "CCTV, recordings retained: CCTV (recordings not retained)"

9. Money

No safe for overnight cash **high severity**

Below standard for any business holding cash overnight.

Holding up to R10,000 in cash overnight without a safe creates a significant and easily preventable theft or robbery exposure. While the premises are occupied 24/7, this remains a major control weakness.

From the submission: "Safe (make, grade, anchored): None"

Infrequent banking schedule **medium severity**

Atypical cash management process, increasing exposure.

Banking only once per month unnecessarily extends the period that cash is held on premises, increasing the duration of exposure to theft or robbery.

From the submission: "Frequency of banking: Monthly"

Absent burglar alarm **medium severity**

Sub-standard physical security for a commercial premises.

The lack of a monitored burglar alarm system weakens the general security of the premises where cash is held. This increases the risk of a successful burglary, although the 24-hour occupancy is a significant mitigating factor.

From the submission: "Burglar alarm, armed response: Armed response (no alarm)"

10. Goods-in-Transit

Non nominated drivers **medium severity**

Below standard for a business operating its own delivery fleet.

The absence of a nominated drivers list means any employee with a licence could potentially operate a vehicle. This lack of control increases the risk of accidents and theft, as driver experience and history may not be consistently managed.

From the submission: "Nominated drivers, how many: None"

Unspecified vehicle routes **medium severity**

Insufficient information provided for a core underwriting question.

The submission provides no details on the operational area, typical routes, or delivery radius for the vehicles. This information is crucial for assessing hijacking, theft, and collision risks associated with the transit of goods.

From the submission: "What the vehicles are used for, and where they go: (blank)"

Vehicle tracking in place **low severity**

A positive risk feature for a fleet of this nature.

The presence of tracking devices across the fleet is a key risk mitigation measure. It significantly improves the chances of vehicle and cargo recovery following a theft or hijacking.

From the submission: "Tracking devices fitted, which: Yes - Various"

No overnight loading **low severity**

Represents strong operational controls for theft prevention.

By not leaving goods in vehicles overnight, the business significantly reduces its exposure to theft. This practice demonstrates good risk awareness and management.

From the submission: "Goods left loaded in a vehicle overnight: No"

Clean loss history low severity

A strong indicator of good historical risk management.

A five-year loss-free history suggests that the business's operational controls for transporting goods have been effective. This is a significant positive indicator for the quality of the risk.

From the submission: "All losses in the last 5 years, whether or not they were claimed: None"

11. Electronic Equipment

High fire risk to equipment high severity

Below standard for a manufacturing occupancy with flammable materials.

The presence of flammable materials combined with inadequate fire protections (no alarm, no sprinklers) creates a significant fire hazard. A fire would likely lead to a total loss of the R330,000 in electronic equipment.

From the submission: "Hazardous materials, processes or substances held or used: Flammable liquids and chemicals"

Outdated electrical certificate high severity

Below standard for any commercial premises.

An invalid Electrical Certificate of Compliance indicates an elevated risk of electrical faults, power surges, or fire. These are primary perils for the Electronic Equipment section.

From the submission: "Electrical CoC current, and dated: No"

Inadequate theft protection medium severity

Below standard for a premises holding attractive portable items.

The premises lacks a burglar alarm to trigger the armed response, creating a significant vulnerability to theft. This places the R80,000 of portable laptops at a much higher risk.

From the submission: "Burglar alarm, armed response: Armed response (no alarm)"

Robust data backup protocol low severity

Meets best practice for data-reliant businesses.

The practice of daily, off-site backups is a significant mitigating factor. It greatly reduces the potential exposure under the 'reinstatement of data' extension following a physical loss.

From the submission: "Backup frequency: Daily"

12. Business All Risks

Inadequate on premises security for portable items medium severity

Below standard security controls for a commercial premises.

The absence of a burglar alarm at the main premises increases the risk of theft for the portable equipment, which is likely stored there when not in use. This is a significant control weakness.

From the submission: "Burglar alarm, armed response: Armed response (no alarm)"

High attraction portable items low severity

Standard exposure for portable electronic equipment.

The insured items are laptops, which are inherently portable and attractive to thieves, increasing the risk of loss when used away from the premises. The total value is modest, which contains the overall exposure.

From the submission: "The most portable or attractive items on site, and roughly what they are worth: Laptop - R20 000"

Unspecified usage of portable equipment low severity

Common information gap regarding off-site usage patterns.

The submission does not detail who uses the laptops, where they are taken, or the frequency of off-site use, which creates uncertainty about the level of exposure to theft or damage.

From the submission: "Electronic equipment, portable: R80 000 - 4 x Laptops at R20 000 each"

14. Motor

Fire hazard to parked fleet **high severity**

Significant fire exposure for vehicles concentrated at a single manufacturing site.

The entire vehicle fleet is parked overnight at a manufacturing site that uses flammable materials and lacks a monitored fire alarm. A single fire could result in the total loss of multiple vehicles, representing a significant accumulation of risk.

From the submission: "Hazardous materials, processes or substances held or used: Flammable liquids and chemicals"

Unspecified drivers **medium severity**

Below standard for a commercial fleet of this size.

The policy covers any driver, preventing the insurer from assessing individual driver risk, history, or competence. This increases the likelihood of accidents, though it is partly mitigated by the absence of young drivers.

From the submission: "Nominated drivers, how many: None"

Inadequate theft protection for fleet **medium severity**

Below-average physical security for a premises housing a commercial fleet.

The premises where the fleet is parked overnight lacks a functional burglar alarm system, increasing the risk of theft. This is only partially mitigated by 24-hour occupation and vehicle tracking devices.

From the submission: "Burglar alarm, armed response: Armed response (no alarm)"

Contingent liability exposure **low severity**

A common but unquantified liability exposure for this business.

The business is liable for third-party damages caused by employees using their personal vehicles for business purposes. The extent of this usage is unknown, creating an unquantified but typically manageable liability exposure.

From the submission: "Employees drive own vehicles on business: Yes"

16. Public Liability

Inadequate fire safety with flammables **high severity**

Sub-standard fire safety for a manufacturer using flammable materials.

The business uses flammable liquids and chemicals but lacks a monitored fire alarm, increasing the risk of a fire spreading to adjacent third-party properties. The exposure is heightened by the presence of an auto mechanic and a bakery next door.

From the submission: "Hazardous materials, processes or substances held or used: Flammable liquids and chemicals"

Invalid electrical certificate **high severity**

Unacceptable electrical safety standard for an industrial occupancy.

An invalid Electrical Certificate of Compliance is a primary indicator of fire risk from faulty wiring. A resulting fire could easily spread to neighbouring properties, causing significant third-party injury or damage.

From the submission: "Electrical CoC current, and dated: No"

Poor risk perception **medium severity**

Concerning lack of risk awareness for a manufacturing operation.

The insured's declaration of having no realistic worst-case liability exposure indicates a significant lack of risk awareness. This poor safety culture increases the likelihood that operational hazards which could injure third parties are not being managed effectively.

From the submission: "The realistic worst-case injury or damage the business could cause to someone else, and what is in place to prevent it: None"

Public access to manufacturing site **low severity**

Standard exposure for a factory with on-site visitors.

While the daily number of visitors is low, their presence on an active manufacturing site with machinery and chemicals introduces a direct risk of third-party injury from operational activities.

From the submission: "Public enter the premises, how many a day: Yes - 5"

17. Broadform Liability

Products liability exposure **high severity**

A primary exposure for a manufacturer supplying major retail chains.

As a manufacturer supplying goods directly to major retailers, the business has a significant products liability exposure. A design flaw, manufacturing defect, or contaminated material could lead to a large-scale recall or numerous third-party claims.

From the submission: "XYZ Shoes is a shoe manufacturing plant that manufacturers specific designed shoes for retail by major stores."

Hazardous materials in production **medium severity**

An unquantified risk for a manufacturer of consumer goods.

The use of unspecified flammable liquids and chemicals in the manufacturing process introduces a potential products liability risk (e.g., adverse skin reactions for end-users) and a pollution liability risk. The lack of detail on the specific substances and the controls in place is a concern.

From the submission: "Hazardous materials, processes or substances held or used: Flammable liquids and chemicals"

Poor risk perception **medium severity**

Suggests a weak risk management culture for this type of business.

The client's statement that there is no realistic worst-case injury they could cause indicates a poor understanding of their inherent liability exposures as a manufacturer. This raises concerns about whether appropriate risk mitigation measures are in place.

From the submission: "The realistic worst-case injury or damage the business could cause to someone else, and what is in place to prevent it: None"

Public access to manufacturing site **medium severity**

A notable public liability exposure for a factory environment.

Allowing public access to an active manufacturing plant creates a direct public liability risk due to the presence of machinery and hazardous materials. An accident involving a visitor could lead to a significant bodily injury or property damage claim.

From the submission: "Public enter the premises, how many a day: Yes - 5"

Design and advice liability **low severity**

An additional, unclarified liability exposure beyond standard products risk.

The business states it provides professional advice or design, which creates an additional liability exposure beyond defective products, akin to an errors and omissions risk. The nature and scope of this advice are unknown, representing an unquantified risk.

From the submission: "Professional advice or design given: Yes"

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